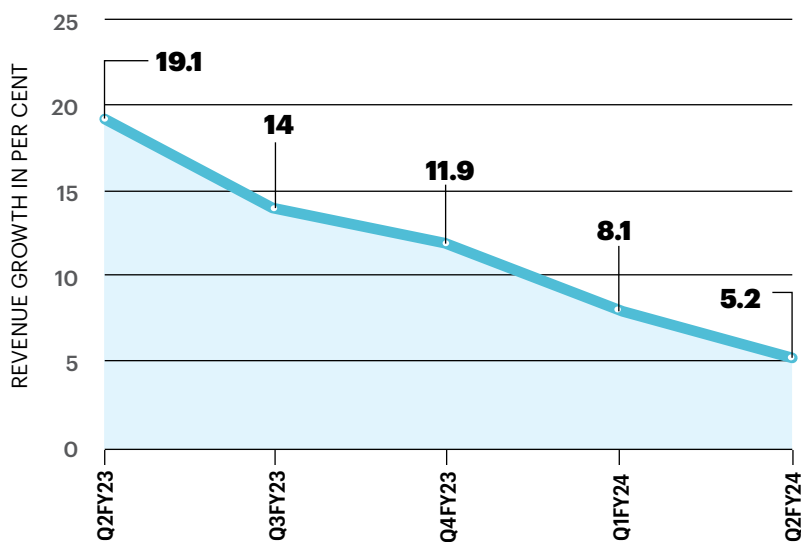


LOSING MOMENTUM

- Revenue growth (YoY) has been falling at LTIMindtree
- But this is not unique to the company; rather, it is being witnessed across the Indian IT sector



SOURCE COMPANY, HDFC SECURITIES

erating Officer, says the company has started seeing the results of its efforts. “With the confidence that the margin optimisation initiatives are delivering the savings, we feel that despite higher furloughs, we should be able to recoup [margins] as we go into Q3 and Q4.”

The company has also optimised its bench strength to improve employee utilisation, and reduce the need for fresh hirings to improve margins. LTIMindtree’s headcount had dipped by nearly 3,500 in Q2FY24, from the year ago quarter. Additionally, the company’s utilisation has also improved by 310 basis points. During an interaction with *Business Today* after reporting its second quarter results, Deshpande had said that the company was able to follow through on its plans to utilise its bench better,

and had improved visibility of talent availability post-merger, by efficiently deploying resources. “You see that reflected in our utilisation improvement from last year. We have now improved our bench utilisation, and we will see a net headcount addition going forward in line with our business goals,” he had said then. Consequently, the IT major has dialled back on aggressive hiring and net headcount addition, as attrition has also moderated. The lower attrition has further reduced the need to back-fill, making it easier for the company to ramp up projects. “As far as our freshers hiring is concerned, I think we have on-boarded 1,400-odd freshers in this quarter. Now, for the rest of the year, we are on track with hiring plans for FY24,” says Deshpande.

Yet, despite a strong deal pipeline and active efforts to improve margins, challenges in the company’s growth story persist. Primary among them is the marked slowdown in revenue growth at the company, which was at 5.2 per cent in Q2FY24, down from 19.1 per cent in Q2FY23, the HDFC Securities report notes. Deshpande attributes this slowdown in revenue growth to decreasing discretionary spending by clients. “While new deal wins are strong, with the cautious environment, there’s a significant drop in discretionary spending by clients. That means, some of our existing programmes, as they come to a close, may not see renewal. Or, you may see a reduction in spending in some of these transformational programmes by customers,” he says.

It is worth noting here that the weak demand environment is not unique to LTIMindtree, as it has also impacted other Indian IT players, equally.

IN ADDITION TO the external demand factor potentially impacting the company’s growth prospects, there are some internal issues as well that could impact the company. Since the merger, nine top executives—ranging from board members and C-suite leaders to heads of various verticals—have left the company in the past 10 months. Aditya Narayan Mishra, MD and CEO of talent solutions provider CIEL HR, says the exits from the top ranks of the company—which could be indicative of internal issues at the company post-merger—can trickle down to clients parting ways with it as well. “It is critical to give a clear path to senior members [of the management] on both sides post the merger about the possibilities of their career trajectories in the new com-